

1.

Level of response	An answer that:	Max 10 marks
3	- is well organised and develops one or more of the key issues that are relevant to the question - shows sound knowledge and understanding of relevant economic terminology, concepts and principles - includes good application of relevant economic principles and/or good use of data to support the response - includes well-focused analysis with a clear, logical chain of reasoning - may include a relevant diagram to support their explanation.	8–10 marks
2	- includes one or more issues that are relevant to the question - shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and/or data to the question - includes some reasonable analysis but it might not be adequately developed and may be confused in places - may include a relevant diagram to support their explanation.	4–7 marks
1	- is very brief and/or lacks coherence - shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - demonstrates very limited ability to apply relevant economic principles and/or data to the question - may include some very limited analysis but the analysis lacks focus and/or becomes confused - may include a diagram but the diagram is likely to be inaccurate in some respects or is inappropriate.	1–3 marks

Relevant issues include:

- meaning of 'competitive markets' and/or 'competition'
- distinction between price and non-price competition
- competition by price
- improvement of 'product'
- quality of service provided
- reduction of costs
- promotion/advertising.

[10]

**2.****Areas for discussion include:**

- explanation of what 'customers' interests' means in this context (to include low prices, high quality, customer experience/service, choice, convenience)
- discussion of differences between discounters (eg Aldi and Lidl), traditional stores (eg Tesco) and online retailers (eg Ocado)
- discussion of how the supermarket sector has evolved in recent years
- analysis of the market structure in the supermarket sector (with elements of oligopoly and localised monopolies)
- the impact of competition and profitability on innovation
- assessment of trends in prices and profits
- impact of the pandemic on shopping habits, with a significant move towards online shopping, and whether shoppers are likely to change back to physical stores
- the role of the CMA in ensuring competition and positive outcomes for customers
- discussion of the proposed merger between Asda and Sainsbury's and why the CMA decided to oppose it
- the particular problems of local monopolies in the supermarket sector
- the CMA investigation into Tesco's abuse of restrictive property arrangements in order to retain local monopoly power
- use of examples
- market failure arguments
- government failure arguments.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21–25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16–20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgments but these aren't well-supported by arguments and/or data.	11–15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes attempted evaluation which is weak and unsupported.	6–10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which is, at best, very weak - includes attempted analysis which is weak and unsupported.	1–5 marks

**3.****Areas for discussion include:**

- definitions of short run and long run
- definition of normal profit, awareness that it should be considered a cost and why it is required to remain in business in the long run
- explanation of profit maximisation
- explanation of what is meant by loss, in other words total costs exceeding total revenues
- explanation of why this is likely to be problematic in the short run (eg cash-flow problems) and long run
- analysis of breakeven point for a firm and the need for average revenue to cover average total costs at the profit-maximising point in the long run
- analysis of the need for average revenue to cover average variable costs at the profit-maximising point in the short run, to avoid the firm shutting down
- explanation of why a loss-making firm is able to carry on as long as it is covering its variable costs
- the availability of options for continuing if running operations at a loss, eg the existence of affordable credit or investment, or previously retained earnings
- analysis of barriers to exit such as sunk costs
- application to perfectly and/or imperfectly competitive markets
- impact of business cycles on a firm's profit – cycles may be caused by booms and recessions, or by seasons
- firms may consider long-run profits rather than short-run profits and continue despite making losses
- in the short run the firm may be investing heavily in capital, R & D or marketing, which may lead to short-run losses but long-run profits
- in the short run the firm may be pursuing strategies to increase market share, and gain monopoly power in the long run
- use of examples, including those mentioned in the quote, to illustrate why a firm may to continue to produce in the short run, despite making losses.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

Level of response	Response	Max 15 marks
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2	A reasonable response provides an answer that: - focuses on issues that are relevant to the question - shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6 – 10 marks
1	A weak response provides an answer that: - has identified one or more relevant issues - has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - has very limited application of relevant economic principles to the given context and/or data to the question - might have some limited analysis but it may lack focus and/or become confused.	1 – 5 marks

[15]

4.

Areas for discussion include:

- what is meant by renationalisation
- explanation of natural monopoly
- arguments in favour of renationalisation
 - simpler consumer offering, less baffling ticketing options, more consistent service
 - economies of scale, eg purchasing of rolling stock, marketing
 - greater consideration of externalities, eg safety
 - necessary for making much-needed investment in new tracks and technology, although government currently subsidising network rail so perhaps little impact here
 - no great upfront cost as nationalisation occurs when franchises come to an end
 - successful state-run railways across much of Europe
 - current situation appears to nationalise the risks, but privatise the rewards (East Coast mainline)
 - the relative success enjoyed by the East Coast mainline when run by the state
 - current situation isn't true competition anyway as consumers rarely have a choice of suppliers for a given journey



EXAM PAPERS PRACTICE

- arguments against renationalisation
 - passenger numbers have expanded enormously since privatisation, with UK rail being used very intensively
 - recent increase in investment under private hands
 - big improvements have occurred in safety, innovation and comfort
 - no excessive profits being made consistently by rail firms, with small profit margins being the norm
 - many current concerns about railways (eg overcrowding, punctuality) are unlikely to be resolved by a change of ownership
- market failure arguments
- government failure arguments.



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3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principle but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which is, at best, very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

**5.****Areas for discussion include:**

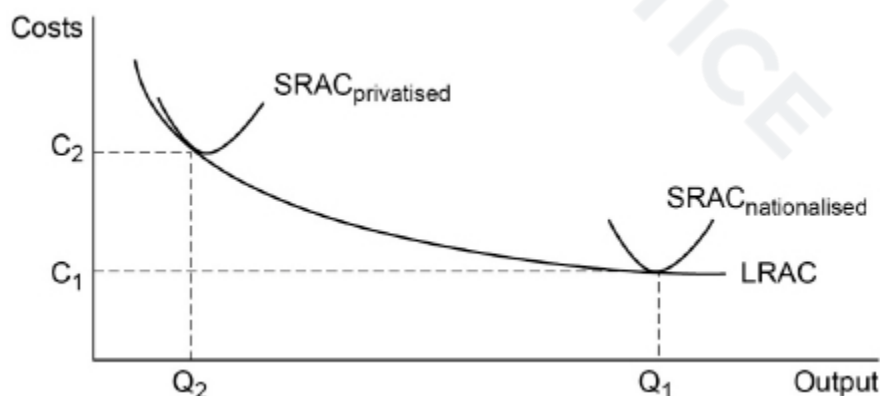
- explanation of market forces and government intervention
- acknowledgement of recent rapid growth in the sand market
- discussion of the increasingly global market for sand, with the commodity being transported vast distances by sea
- explanation of how the market might respond to challenges via the price mechanism (incentives, signalling, rationing)
 - price of sand rising leading to recycling and reduction in use
 - substitutes becoming more available
- ability of the market/government response to cope with future developments, including rising sea levels and the expected construction needs of rapidly developing countries
- discussion of problems created by the sand industry
 - externalities from degradation of environment
 - externalities from transport of sand
 - tragedy of the commons
 - disappearance of Indonesian islands
 - sand dredging damaging biodiversity
 - vulnerability to extreme weather
- discussion of benefits of the sand industry
 - restoring coasts of low-lying islands such as Kiribati
- discussion of possible policies at the national level
 - regulations
 - taxation
 - permits and quotas
 - price regulation
- discussion of problems with the above policies, referencing the organised criminal networks in India, black markets, etc.
- explanation of how international agreement may be necessary given the global nature of the problem
- discussion of how such international agreements are slow to achieve and often fail to address problems identified
- market failure arguments
- government failure arguments.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

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Level of response	Response	Max 9 marks
3	- is well organised and develops one or more of the key issues that are relevant to the question - shows sound knowledge and understanding of relevant economic terminology, concepts and principles - includes good application of relevant economic principles and/or good use of data to support the response - includes well-focused analysis with a clear, logical chain of reasoning - includes a relevant diagram that will, at the top of this level, be accurate and used appropriately.	7 – 9 marks
2	- includes one or more issues that are relevant to the question - shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and/or data to the question - includes some reasonable analysis but it might not be adequately developed and may be confused in places - may include a relevant diagram.	4 – 6 marks
1	- is very brief and/or lacks coherence - shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - demonstrates very limited ability to apply relevant economic principles and/or data to the question - may include some very limited analysis but the analysis lacks focus and/or becomes confused - may include a relevant diagram but the diagram is not used and/or is inaccurate in some respects.	1 – 3 marks

A natural monopoly diagram is expected, showing constantly declining LRAC in the rail sector. In addition, two or more SRAC curves contained within the LRAC envelope could be used to illustrate the different cost profiles of the sector, though these are not essential. One SRAC to show where the opportunities for economies of scale aren't adequately exploited and the other showing where the industry is operating as a monopoly, exploiting more fully the potential economies of scale.





Relevant issues include:

- explain what is meant by long-run average costs
- explanation of the characteristics of natural monopoly, and why railways can be considered a natural monopoly (huge network, large capital costs, etc)
- explanation of minimum efficient scale relative to the size of the market
- how automation and technological progress boost labour productivity within industries and markets
- provide examples of economies of scale that might be available to firms operating in the railway sector
- reference to the fact that costs are 40% higher in the UK than the rest of Europe
- explanation of the higher long run average costs that are likely to flow from fragmenting the railways into numerous smaller parts
- explain the franchise model and how this encourages short-term priorities at the expense of long-run average cost reductions
- explain that the profit motive forces firms to cut costs in order to maximise profit – this could be via a reduction in X-inefficiency.

[9]

7.

B

[1]

8.

Areas for discussion include:

- definition of the ‘fundamental economic problem’
- definition of PPF/PPD
- explanation of how a PPF shows the trade-offs implicit in an economy’s decision over what to produce and resource allocation
- explanation of opportunity costs
- explanation of why PPFs tend to be convex to the origin
- how all points on a PPF are productively efficient, where all factors of production are being put to good use and production is at its lowest cost
- how moving from one point on the PPF to another point on the PPF means necessarily sacrificing some production of the first good for the second
- how an economy at a point inside a PPF suggests unemployed factors of production, and that expanding production to the PPF can result in short-run economic growth
- the significance of shifts in the PPF outwards or inwards in terms of productive capacity
- explanation of why points on a PPF are productively efficient, but they aren’t all allocatively efficient
- a PPF drawn to show the possible production combinations between consumption and capital goods could be used to explain how dynamic efficiency is possible, if factor inputs are deployed to the capital sector, where the quantity and quality of capital might increase

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[15]

**9.****Areas for discussion include:**

- definition of price discrimination
- the conditions necessary for price discrimination
- discussion of different types of price discrimination
- the disadvantages of price discrimination (higher price for many consumers, loss of consumer surplus, pricing seen as unfair eg for captive consumers such as rail season ticket holders)
- the advantages of price discrimination (lower prices for some customers with lower demand, typically those from low income households, customers with highest utility of a good or service likely to obtain the good, output likely to be higher than would be the case from a non-discriminating monopolist)
- price discrimination may be preferable to a single-price which results in secondary markets developing (eg ticket touts)
- price discrimination is good for the monopolist, increasing revenues and profits
- price discrimination is good for consumers who would otherwise have been unable to afford a good or service (eg last-minute holiday bookings) eases the impact of inequalities
- price discrimination may allow for cross-subsidisation of unprofitable goods or services
- the negative image of price discrimination, especially relating to accusations of exploitation levelled at monopolists in response to natural disasters
- discussion of the alternative to a discriminating monopolist (likely to be a non-discriminating monopolist rather than a competitive market)
- use of examples
- market failure arguments.

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[25]

10.

Areas for discussion include:

- definition of monopoly power
- explanation of how new monopolies have achieved market dominance
- explanation of how firms with monopoly power can exploit their power to restrict output and raise prices
- discussion of how the nature of monopoly is changing, as the rich world's demands shift away from heavy industry and towards information economies
- how monopoly regulation has largely been designed for a different context from the modern internet firms, and is (to some extent) trying to catch up with the pace of change
- how breaking up firms may lead to more competition and better customer outcomes, but could jeopardise the economies of scale enjoyed by large dominant firms and their customers
- how a tax would be likely to work: an indirect tax; 'super tax' on abnormal profits
- recognition that many services offered by these firms are free to users, paid for by third-party advertising, hence price-based interventions are unlikely to be effective
- one proposed policy in this area is to require tech firms to pay users for permission to collect and use personal data
- discussion of the international context. Many of the technology firms have significant operations in multiple countries, so any policy may need to be agreed/coordinated by a number of countries. Firms might be considered to be 'footloose' in terms of tax avoidance
- examples of regulation of such firms by eg EU Competition Commissioner's fine for Google
- recognition of how many concerns about the large Internet firms are about data protection and privacy rather than economic concerns
- overall assessment about whether there ought to be more intervention in this market, and whether it should be by breaking up the firms
- explanation of how the recent history has featured the natural demise of seemingly dominant firms in the information market (eg myspace, askjeeves, IBM) without any government intervention
- discussion of productive, allocative and dynamic efficiency
- market failure arguments
- government failure arguments.

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[25]

11.

C

[1]

12. A or C

[1]

13. C

[1]

14. B

[1]

15. **Areas for discussion include:**

- definition of technological change, perfect competition
- discussion of the features of competitive markets in relation to technological change and market structure
- recognition that perfect competition is an unattainable ideal in many sectors, and is best thought of as one end of a spectrum of market structures to which sectors should (arguably) be guided
- in some sectors, the use of the internet and other technological innovation has hugely improved price transparency, thus minimising information asymmetry and getting closer to perfect information (eg price comparison websites, insurance brokers)
- in some sectors, firms have strengthened dominant positions by erecting barriers to entry such as massive economies of scale and advanced inventory systems (eg Amazon)
- the impact of artificial intelligence, robotics, and retention of personal data on markets, making markets less competitive, eg online customers now receiving personalised adverts
- the improvement of communications has led to improved information flows and made some markets more competitive, but has also led to the demise of other sectors, eg streaming replacing CDs and radio to an extent
- the impact of technology on reducing average costs and thus potentially reducing prices
- the impact of technology on the number of sellers in a market, eg possibility of starting a business with a laptop from a bedroom
- the impact of technological change on homogeneity of products and services
- discussion of productive, allocative and dynamic efficiency
- discussion of Schumpeterian creative destruction
- examples of markets that have become more competitive
- examples of markets that have become more concentrated
- overall assessment about whether technological change tends to bring industries closer to the market structure of perfect competition.

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**16.****Areas for discussion include:**

- explanation of pharmaceutical market structure
- discussion of consumer interests in this market: low and stable prices, safe and effective products, access to drugs (these are merit goods)
- discussion of the role the NHS plays in acting as a monopsonistic buyer of pharmaceuticals in the UK, whereas in the USA and elsewhere, there are many more buyers
- the oligopolistic nature of the generics market, with a small number of firms typically producing each drug, and the opportunity for collusion and price-fixing, especially as there is little or no branding of products
- the fact that monopoly power is legally granted to firms in order to encourage research and development into new drugs. The advantage of this is that new drugs are invented. The disadvantage is that it can take 20 years for lifesaving drugs to become more affordable
- the ability of pharmaceutical firms to exploit monopoly power and inelastic demand by massively increasing prices
- the importance of economies of scale
- the importance of dynamic efficiency and links to market structure
- the significance of productive and allocative efficiency
- in generic pharmaceutical markets, oligopoly power can lead to tacit or collusive price-setting
- very high levels of investment in research and development for new drugs and treatments, contributing to rising life expectancy and improved survival rates, for example cancer and HIV/AIDS
- discussion of possible policies at the national level which may impact on consumer interests, eg regulation by the CMA
- market failure arguments
- government failure arguments.

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**17.****Areas for discussion include:**

- definitions of perfect competition, productive efficiency, allocative efficiency
- explanation of the assumptions of perfect competition
- explanation of how and why firms are forced to be price-takers in perfect competition
- the ability to earn supernormal profits is restricted. In the short run, perfectly competitive firms may make some supernormal profit, in the long run such profits will be eroded by new entrants joining the market or existing competitors expanding output. This contributes to allocative and productive efficiency
- explanation of how firms must produce output at the lowest point on the average cost curve. Any productive inefficiency will be punished by other more efficient firms selling at a lower price
- explanation of the condition for allocative efficiency ($P=MC$) and how and why this will be ensured in perfect competition.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

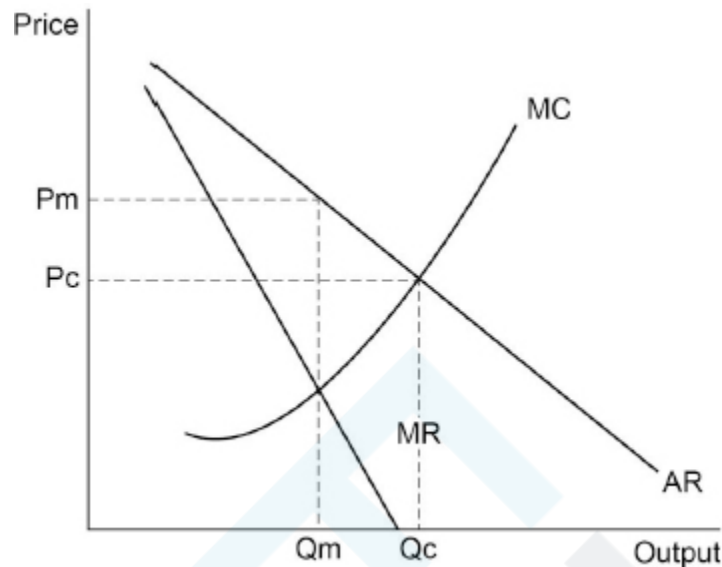
Level of response	Response	Max 15 marks
3	A good response provides an answer that: • is well organised and develops a selection of the key issues that are relevant to the question • shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning.	11 – 15 marks
2	A reasonable response provides an answer that: • focuses on issues that are relevant to the question • shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6 – 10 marks
1	A weak response provides an answer that: • has identified one or more relevant issues • has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • has very limited application of relevant economic principles to the given context and/or data to the question • might have some limited analysis but it may lack focus and/or become confused.	1 – 5 marks

[15]

Level of response	Response	Max 9 marks
3	- is well organised and develops one or more of the key issues that are relevant to the question - shows sound knowledge and understanding of relevant economic terminology, concepts and principles - includes good application of relevant economic principles and/or good use of data to support the response - includes well-focused analysis with a clear, logical chain of reasoning - includes a relevant diagram that will, at the top of this level, be accurate and used appropriately.	7 – 9 marks
2	- includes one or more issues that are relevant to the question - shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and/or data to the question - includes some reasonable analysis but it might not be adequately developed and may be confused in places - may include a relevant diagram.	4 – 6 marks
1	- is very brief and/or lacks coherence - shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - demonstrates very limited ability to apply relevant economic principles and/or data to the question - may include some very limited analysis but the analysis lacks focus and/or becomes confused - may include a relevant diagram but the diagram is not used and/or is inaccurate in some respects.	1 – 3 marks

Suggested diagram

A monopoly/competitive market diagram is expected, showing how monopolists may restrict output and set a higher price, P_m , than they would in a competitive market, P_c . However, other appropriate diagrams should be given credit.



Relevant issues include:

- definitions of monopoly and competition
- explanation of the diagram, showing price-making behaviour of monopolists, resulting in higher prices and lower output. Comparison with price-taking behaviour of firms in a competitive sector, where output is higher and prices are lower
- less pressure to keep down costs in a monopoly
- explanation of the role of patents in pharmaceutical monopolies
- explanation of high development costs for new drugs leading to high prices, including the costs of research, testing, marketing and regulatory approval
- explanation of how very low marginal costs result in low prices once patent expires
- new, innovative drugs are even more expensive to develop than previous generations of new drugs thanks to new technologies such as personalised pharmaceuticals
- over-reliance on one or two key suppliers for patented drugs – if they collapse, prices will increase substantially. In competitive markets no one firm is critical to the market.

[9]

19.

A

[1]

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: • is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning • includes supported evaluation throughout the response and in a final conclusion.	21–25 marks
4	Sound, focused analysis and some supported evaluation that: • is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles and, where appropriate, some good use of data to support the response • includes some well-focused analysis with clear, logical chains of reasoning • includes some reasonable, supported evaluation.	16–20 marks
3	Some reasonable analysis but generally unsupported evaluation that: • focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places • includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11–15 marks
2	A fairly weak response with some understanding that: • includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • includes some limited application of relevant economic principles and/or data to the question • includes some limited analysis but it may lack focus and/or become confused • includes some evaluation which is weak and unsupported.	6–10 marks
1	A very weak response that: • includes little relevant knowledge and understanding of economic terminology, concepts and principles • includes analysis which is, at best, very weak • includes attempted evaluation which is weak and unsupported.	1–5 marks

**Relevant issues and areas for discussion include:**

- market failure as a justification for government support
- damage to the environment as source of market failure in the commercial aircraft industry, eg greenhouse gas emissions, noise pollution
- the high cost and risk may, without government support, lead to inadequate spending on R&D and capital investment
- to support investment in human capital where the existence of positive externalities may be a source of market failure and, if left to the private sector, may mean spending is too low
- to support growth and employment in the less prosperous regions where market failures may mean that they do not develop sufficiently, eg immobility of labour, inertia, cumulative causation and local multiplier effects
- may help to promote improvements in productivity and competitiveness
- external benefits (spin-offs) for other industries arising from developments in the commercial aircraft manufacturing industry
- supports UK manufacturing helping to achieve a more diversified, balanced economy
- may be needed to match the support provided by other countries
- may be needed in the short run to support the industry when there is a significant economic shock
- impact on employment
- impact on short-run and long-run economic growth
- government support as an injection into the circular flow of income and related multiplier effects
- impact on exports and the balance of payments
- may lead to over-reliance on government support, inhibiting improvements in productivity and efficiency
- may make it difficult for new firms to enter the market
- distorts the pattern of comparative advantage, supporting inefficient industries reducing the gains from trade
- may breach WTO rules and allow other countries to impose tariffs and other trade restrictions in retaliation
- implications for taxation, other categories of public expenditure and the budget balance
- various arguments relating to government failure, eg information failures, administrative costs, political motivations
- a supported recommendation.

The use of relevant diagrams to support analysis should be taken into account when assessing the quality of a candidate's response to the question.

An answer that does not include any evaluation, either throughout the answer or in a supported recommendation, must not be awarded more than 13 marks.

[25]

21.

A

[1]

22.

C

[1]

23.
Areas for discussion include:

- definition of price mechanism, resource allocation and market economy
- explanation of the way in which demand and supply functions interact in equilibrium to determine price and quantity
- explanation of the rationing function of prices in allocating resources and coordinating the decisions of buyers and sellers in a market economy
- explanation of the signalling function of prices in allocating resources and coordinating the decisions of buyers and sellers in a market economy
- explanation of the incentives function of prices in allocating resources and coordinating the decisions of buyers and sellers in a market economy
- the role of prices in product and factor markets
- the interaction between markets
- use of examples.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

Level of response	Response:	Max 15 marks
3	A good response provides an answer that: • is well organised and develops a selection of the key issues that are relevant to the question • shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning.	11–15 marks
2	A reasonable response provides an answer that: • focuses on issues that are relevant to the question • shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6–10 marks
1	A weak response provides an answer that: • has identified one or more relevant issues • has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • has very limited application of relevant economic principles to the given context and/or data to the question • might have some limited analysis but it may lack focus and/or become confused.	1–5 marks

[15]
24.

C

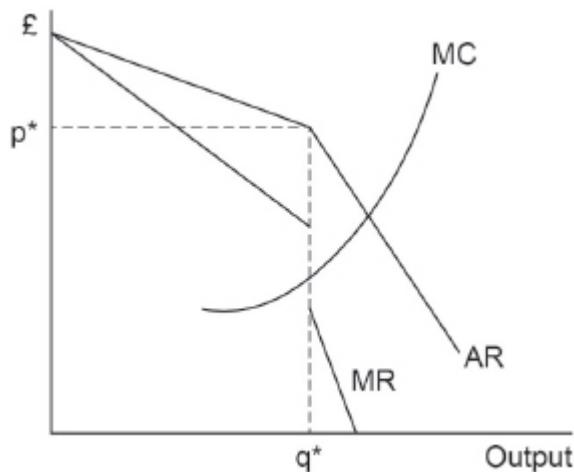
[1]

25.

Level of response	Response:	Max 9 marks
3	- is well organised and develops one or more of the key issues that are relevant to the question - shows sound knowledge and understanding of relevant economic terminology, concepts and principles - includes good application of relevant economic principles and/or good use of data to support the response - includes well-focused analysis with a clear, logical chain of reasoning - includes a relevant diagram that will, at the top of this level, be accurate and used appropriately.	7–9 marks
2	- includes one or more issues that are relevant to the question - shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and/or data to the question - includes some reasonable analysis but it might not be adequately developed and may be confused in places - may include a relevant diagram.	4–6 marks
1	- is very brief and/or lacks coherence - shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - demonstrates very limited ability to apply relevant economic principles and/or data to the question - may include some very limited analysis but the analysis lacks focus and/or becomes confused - may include a relevant diagram but the diagram is not used and/or is inaccurate in some respects.	1–3 marks

Suggested Diagram

A kinked demand curve diagram is expected, showing how interdependence in the supermarket sector may mean prices are sticky.



Notes

The diagram does not have to include the MR and MC curves, a kinked AR curve is sufficient.

A different relevant, valid diagram should also be rewarded. Allow a game theory matrix.

Relevant issues include:

- the meaning of interdependence and uncertainty
- explanation of the supermarkets as an example of an oligopoly
- explanation of the diagram, including why the demand curve is kinked (relating to price elasticities of demand either side of p^*)
- analysis of how prices are likely to remain sticky in this model, even if the costs increase prices may not increase
- reference to 'split shops' from Extract E
- the price gap is declining between the discounters and conventional supermarkets
- interdependence leading to a price war may be reflected in traditional supermarkets' commitment to 'price match' discounters' prices
- examples of non-price competition such as greater investment in stores to attract customers
- the incentive to collude.

[9]